TRADING STRATEGY GUIDE

PDS

Previous Day Support

A rule-based short-selling playbook for the gap-down session

Instrument: NIFTY 50 Index | Timeframe: 5-minute chart | Style: Intraday

SHORT	70 pts	35 / 40
Direction	Fixed target	Stop-loss

01 Strategy at a Glance

Parameter	Rule
Strategy	PDS: Previous Day Support
Reference level	Previous trading day's low, where price took support
Zone	Rectangle covering the relevant candle body and lower wick
Next-day condition	Market opens gap down
Setup	Price rises from below and the old support zone acts as resistance
Entry confirmation	Good red candle, OR red HPR pin bar, OR break of a small support (fallback)
Target	Fixed at 70 points
Stop-loss	35 or 40 points, based on the recent green candle's distance

02 Strategy Overview

PDS stands for **Previous Day Support**. A support zone is identified from the previous trading day. The strategy then looks for a short-selling opportunity when that same zone acts as **resistance** on the following day.

The key idea is a change of role: a level that held as support yesterday can act as resistance when the market opens **gap down** and price rises back to revisit it. PDS is **not** a breakdown strategy. The trader does not sell the moment price falls below yesterday's support. The trader waits for price to climb back to the zone and for a confirmation to appear.



Figure 1. The PDS setup from the previous day's low to the short entry.

Sequence: Previous day's support, mark the zone, next-day gap-down open, price rises from below, support acts as resistance, entry confirmation (good red candle, red HPR pin bar, or small-support break), short trade.

03 Marking the Previous Day’s Support Zone

Look at the previous day’s chart and find the low where price reached a level, found support, and moved upward. This is the area to mark and monitor in the next session.

1. **Identify the relevant low**
   Find the low from the previous trading day where price took support.
2. **Locate the candle**
   Identify the candle associated with that support area.
3. **Identify body and lower wick**
   Both the relevant candle body and the lower wick belong to the zone.
4. **Draw a rectangle**
   Draw a small rectangular zone covering the body and wick. Do not use a single horizontal line.
5. **Extend it forward**
   Extend the rectangle horizontally so it stays visible on the next trading day.

04 The Next-Day Gap-Down Condition

The market must open **gap down**. After the open, price is trading below the previous day’s support zone.

> **Do not enter** just because the market opened gap down, or because price is trading below the previous support. The setup needs price to return upward and test the marked zone first.

05 Previous Support Acting as Resistance

This is the most important concept in PDS. On the previous day the zone acted as support: price reached it and moved up. On the next day the market opens below the zone. When price rises back to the same area, the zone is watched to see whether it now acts as resistance.

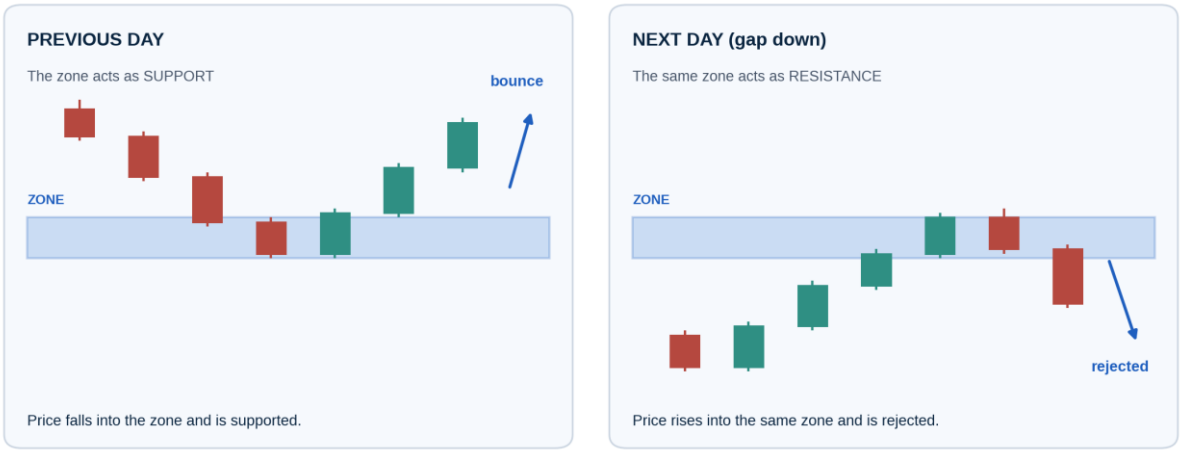


Figure 2. The same zone changes role between the two sessions.

06 Price Reaching the Resistance Zone

After the gap-down open, price must move back up toward the marked zone. The interaction must be close enough to count as a test of the zone, but it does not have to occur at one exact price.

Valid interaction	Meaning
Wick touches the zone	The candle's wick reaches the marked area
Body touches the zone	The candle's body reaches the marked area
Price enters the zone	Price moves inside the rectangle
Price comes very close	Close enough to qualify as a test of the zone

07 Entry Conditions

Once price has risen from below and tested the zone as resistance, a short is taken only when the rejection is of **good quality**. Methods 1 and 2 apply to the first red candle at the zone. If that red candle is not satisfying, use Method 3. All three methods target **70 points**.

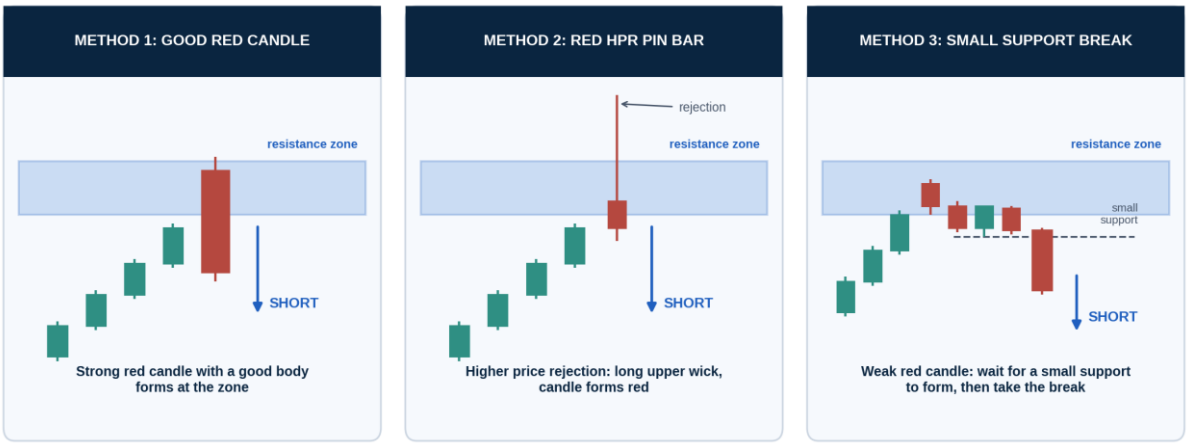


Figure 3. The three entry methods at the resistance zone.

1

Method 1: Good red candle

The candle at the zone is a red candle with a good body: a clear, decisive rejection. Take the short on this first red candle only if it is a good candle.

2

Method 2: Red pin bar with higher price rejection (HPR)

A pin bar showing higher price rejection: a long upper wick pushes into or above the zone and price is rejected. The candle must form red for the short to be activated.

3

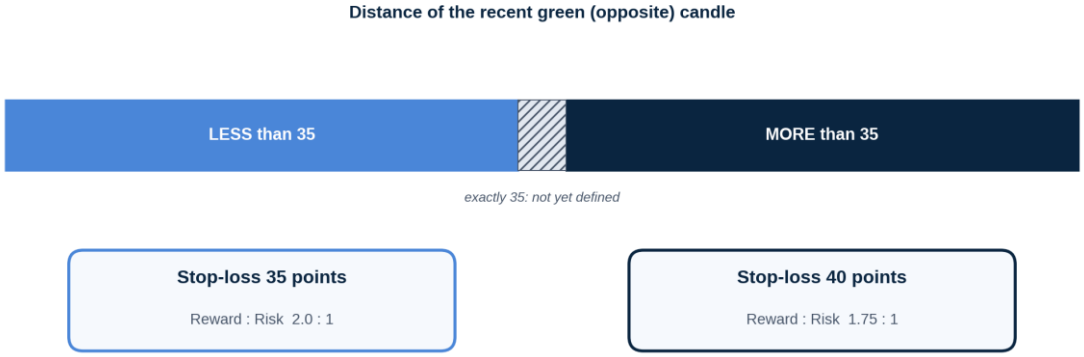
Method 3: Break of a small support

Use this when the first red candle is not satisfying (for example a weak or small-bodied candle). Wait for price to build a small support near the zone, then take the short when that support breaks.

> **Quality rule:** do not take a weak red candle. The first red candle must be a good candle (good body, or a red pin bar with higher price rejection). If it is not, wait for a small support to form and break (Method 3).

Target and Stop-Loss

The **target is fixed at 70 points** whichever entry condition occurs. The **stop-loss is 35 or 40 points**, chosen by the distance of the recent opposite candle. For this short setup, the opposite candle is the recent **green** candle.



Items to Define and Notes

> **Performance note.** This guide describes the rules only and makes no claim about win rate. Log every qualifying setup, winners and losers, over a large sample to measure real performance before relying on the strategy.

Open item	Why it matters
What counts as a good red candle	Body size and close are not numerically defined. Judge consistently or set a minimum.
HPR pin bar definition	Wick-to-body ratio is not specified.
Size of the small support	How small it is, and how many candles form it, is not defined.
Support break: close or touch?	Not specified whether a candle close below the level is required.

Open item	Why it matters
Method 3 trigger	Not specified whether it is used only after a weak red candle or can also stand alone at the zone.
Distance of exactly 35	The stop-loss rule covers less than 35 and more than 35 only.
How the green candle's distance is measured	Needed so the 35 or 40 choice is consistent each time.
Entry timing	Not specified whether entry is during the candle or after it closes.

Final Summary

PDS is a short-selling strategy built on the previous day's support. The low is marked as a rectangle covering the candle body and lower wick. On the next day the market must open gap down. Price then rises from below and returns to the zone, where the old support acts as resistance. The short is taken on a good red candle (Method 1) or a red pin bar showing higher price rejection (Method 2). If the red candle is not satisfying, wait for a small support to form and break (Method 3). The target is fixed at 70 points, and the stop-loss is 35 or 40 points depending on the recent green candle's distance.

Ref. Images




Stop: 35.50 (0.14%) 710, Amount: 750
Closed P&L: 70.10, Qty: 7
Risk/Reward Ratio: 1.97
Target: 70.10 (0.27%) 1,402, Amount: 1493.66

